



High Level Business Strategy



Business Concept

More than just a superior water beverage, **waterco** provides “**Water with a Purpose**” and connects consumers with their favorite sports teams and entertainment properties.

After a hot start with New York Yankees water, **waterco** has expanded into multiple sports franchise and entertainment partnerships, featuring graphics from top brands on the packaging to create an impactful connection with the consumer.

waterco has quickly emerged as a unique and engaging product by making it's water readily available at retail, in-venue and online.

Our Products

Licensing Partnerships

SPORTS



ENTERTAINMENT



\$14.2B Market Size

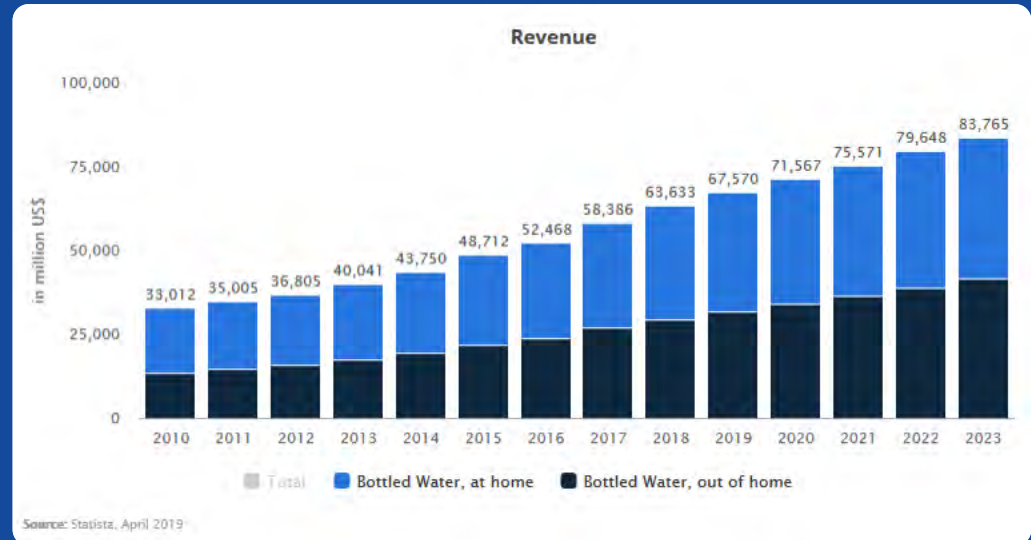
(\$12.5B Retail and \$1.7B HOD)

In the growing bottled water market, waterco  plans to gain market share in natural spring, sparkling, and enhanced flavored water.

Bottled water is projected to grow **34.7%** by 2020

Market Summary

- The bottled water market is expected to grow at a rate of 5.5% per year from 2019 – 2023
- Segments in order from most to least growth potential are:
 - Flavored
 - Functional
 - Still (>60% of sales; largest segment)
 - Carbonated



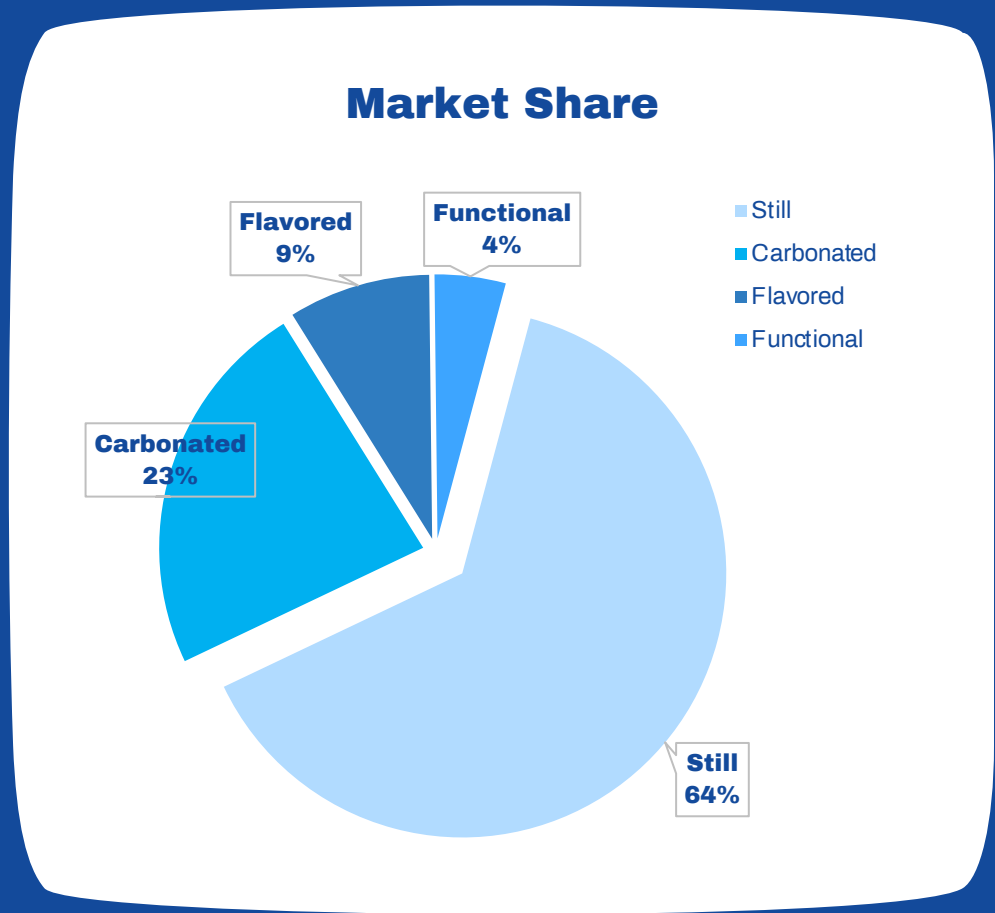
Marketing CAGR

Purchased for Consumption at home

- \$35.8 billion in revenue
- \$108.87 per capita
- 53% market share
- 49.3 billion Liters

Point of Consumption

- \$31.7 billion in revenue
- \$96.47 per capita
- 47% market share
- 7.1 billion Liters



Competition

Market Leaders

Private Label – store brands and such are the top water brands

- Accounts for a quarter of all bottled water sales
- Indicates that price matters above quality

**Private
Label**

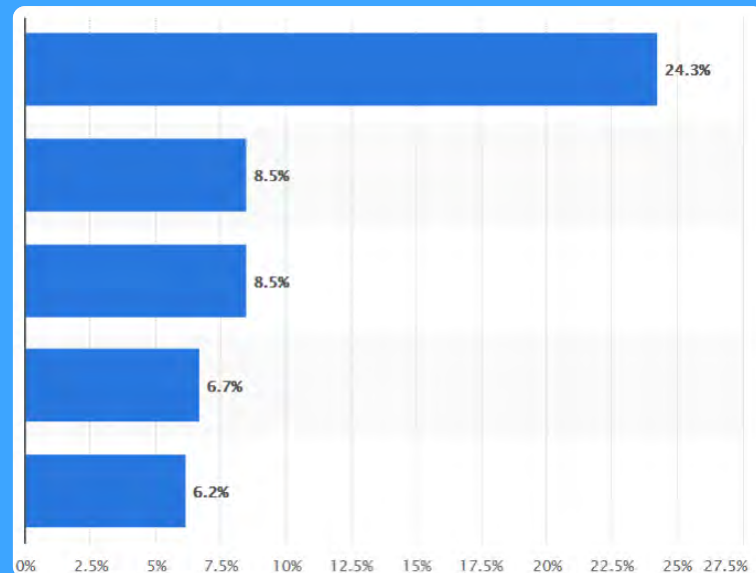
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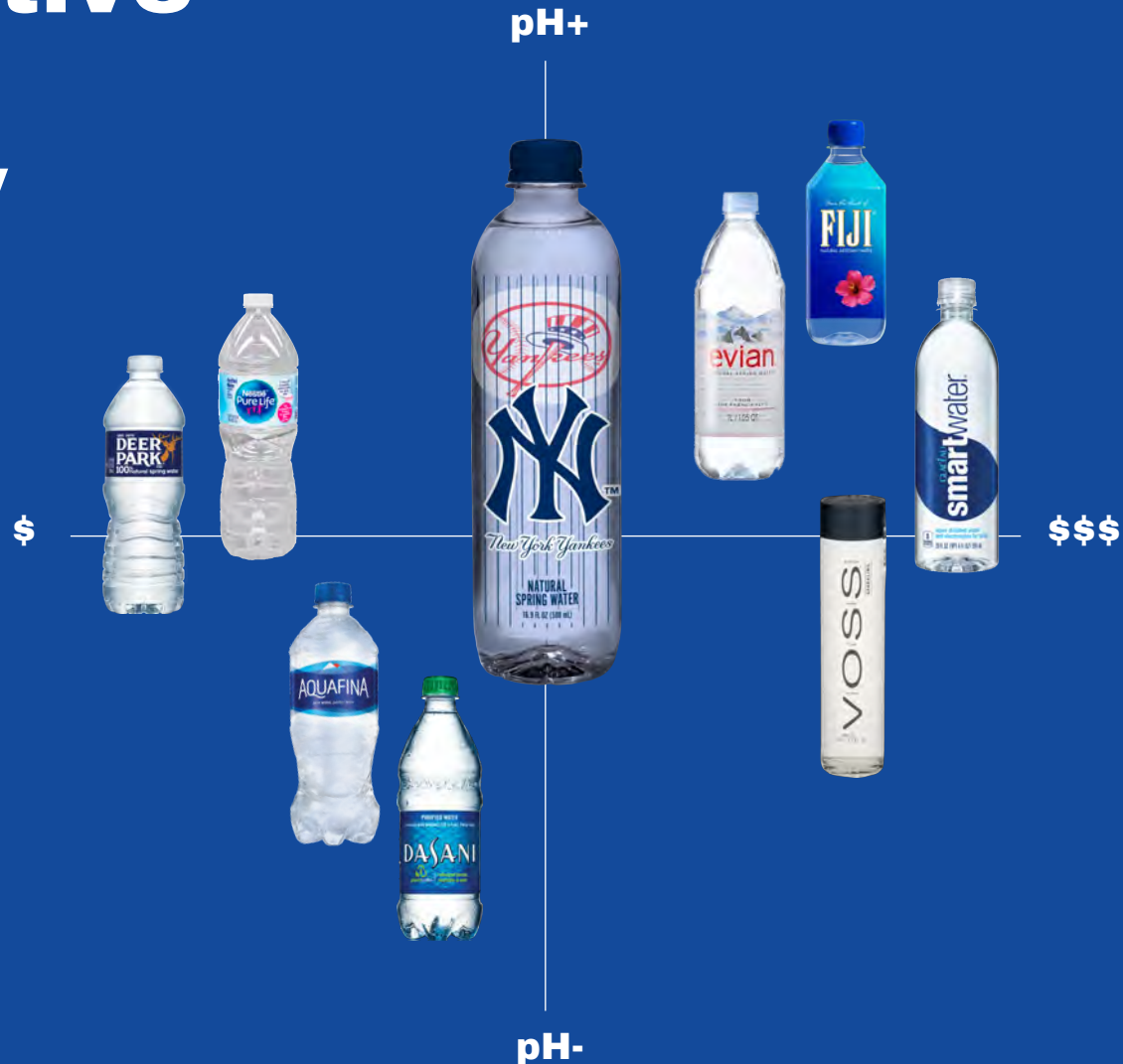
smartwater



BOTTLED WATER MARKET SHARE



Competitive Pricing Strategy



As the freshest and cleanest
water in the market, waterco 
represents healthy, high
 quality , natural beverages.

TDS scores under 10 PPM* before filtration!

*Total Dissolved Solids (TDS) is an indicator of the hardness of water. Acceptable tap water typically has 100-200 TDS.

Product Sizes

We offer 4 size options to meet all of our consumer needs.

Having a diversity of sizes allows us to meet a variety of venue and logistical demands, including:

- Home and Office Delivery
- Stadiums and Arenas
- Retail
- Schools
- Corporate Cafeterias



12oz 16.9oz 23.7oz 1 Liter

Manufacturing

Highly dependent on brand identity

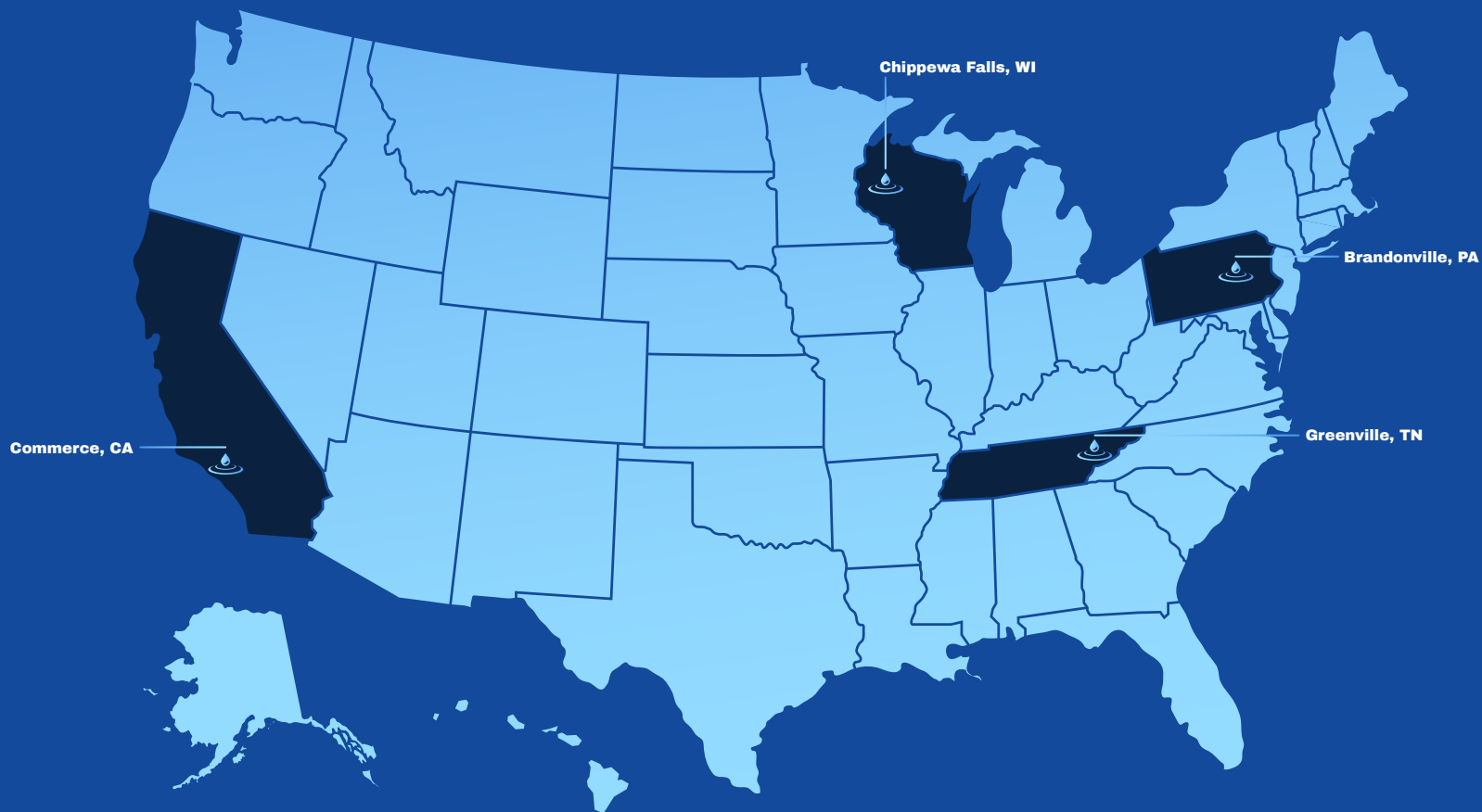
- Purity
- Environmentally friendly
- Scientific
- Flavored
- Carbonated

Finished product dictates manufacturing facility requirements

Manufacturing may provide competitors with another barrier to entry



U.S. Production Plants



Supply Chain

High Level Management

- Label production & management
- Inventory Management Methodology:
 - Supply/Demand Planning Strategy
 - Accurate forecasting
 - Just-in-Time
 - Minimal Stock Level (days on hand)
 - 3PL or Single Distribution Center
 - Drop shipping Operation Considerations (DSD)

Plan must support cash flow



As the leading foodservice and support services company, Compass Group North America is a family of great companies building experiences for all of our customers. We serve award-winning restaurants, corporate cafes, hospitals, schools, arenas, museums, and more.



Sysco delivers exceptional produce, custom cuts of meat, high-quality seafood, and imported foods offering global flavors.

Sysco's unparalleled selection of innovative ingredients and cutting-edge products connects businesses to the industry-leading distribution network - keeping them stocked with the freshest products, trends, and ideas.

Distribution Strategy

Build out distribution in very narrow areas with internal support (not outsourced)

- Channel Selection
- Distribution Support
- Service Levels
- Field Marketing
- Heavy Lifting

Region Development

- Select and focus on regions to prove the concept
- Tall and narrow > short and wide



DSD Delivery



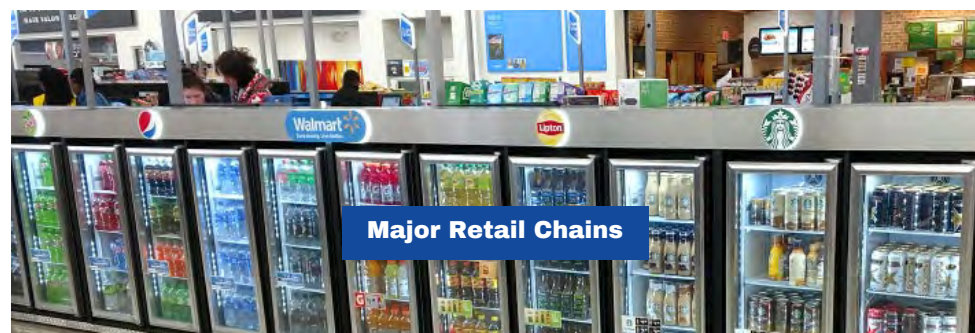
Big Box Stores



Sporting Goods Stores



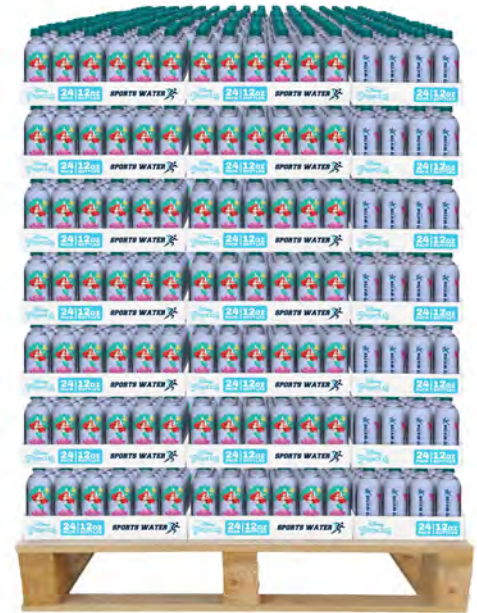
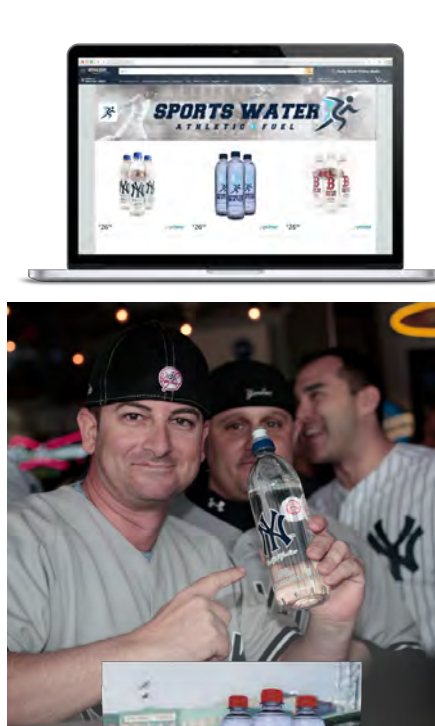
Corporate Cafeterias



Major Retail Chains

Current Distribution Channels

- Convenience Stores
- Supermarkets
- Drug stores
- Club stores
- Amazon.com
- Department Stores
- Sporting Goods Stores
- Sports Facilities
- Home/Office Delivery
- Food Service
- Vending machines



Marketing Strategy

Sports Water is supported with a comprehensive, 360° marketing strategy.

The brand utilizes a slew of marketing channels to amplify the brand's message, including:

- In-stadium Signage
- Influencer activations
- Digital media
- Print Advertising
- Retail Marketing
- Trade Programs



Influencer



In-stadium Signage



Trade Shows

Digital Engagement

Sports Water uses a robust social marketing network with enhanced content to engage consumers and drive traffic.

Player, team and entertainment content is utilized to grow Sports Water's social media presence.

Access more content through our website at:

WWW.GOSPORTSWATER.COM



| @GoSportsWater

Growth Strategy

Build Strategic Alliances

- Create a Repeatable Model

Expand Product Offerings

- Research and Development

Develop Existing Business

- Conversion Rates
- Sell Through
- Reorder Rate

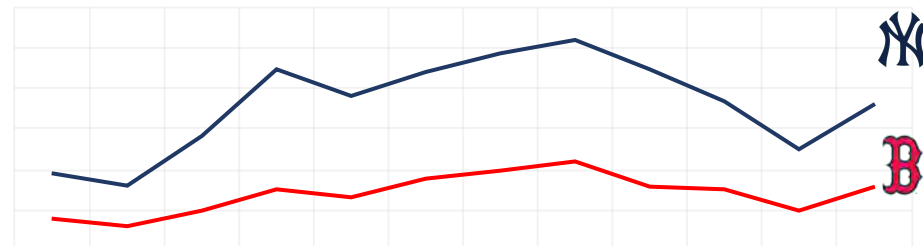
Enhance Infrastructure

- Identify Successful Channels
- Identify Geographic Sources
- Acquire Production Facilities

waterco



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Prospective Partnership Growth

Licensing Partnerships

Entertainment



Sports



U.S. Production Plant Acquisition



Signature Springs in Brandonville, PA is a bottling source that has multiple springs and over **25,000** acres for expansion. The plant is currently one of **waterco's** primary bottling sources and has been actively engaged in acquisition talks.

The strategic acquisition of this plant will allow **waterco** to service multiple channels throughout the Northeast and give the brand full control to its production operations and better service our partners. It will also reduce our costs by roughly \$0.30 – \$0.40 per case of water and enable us to store product for retailers.

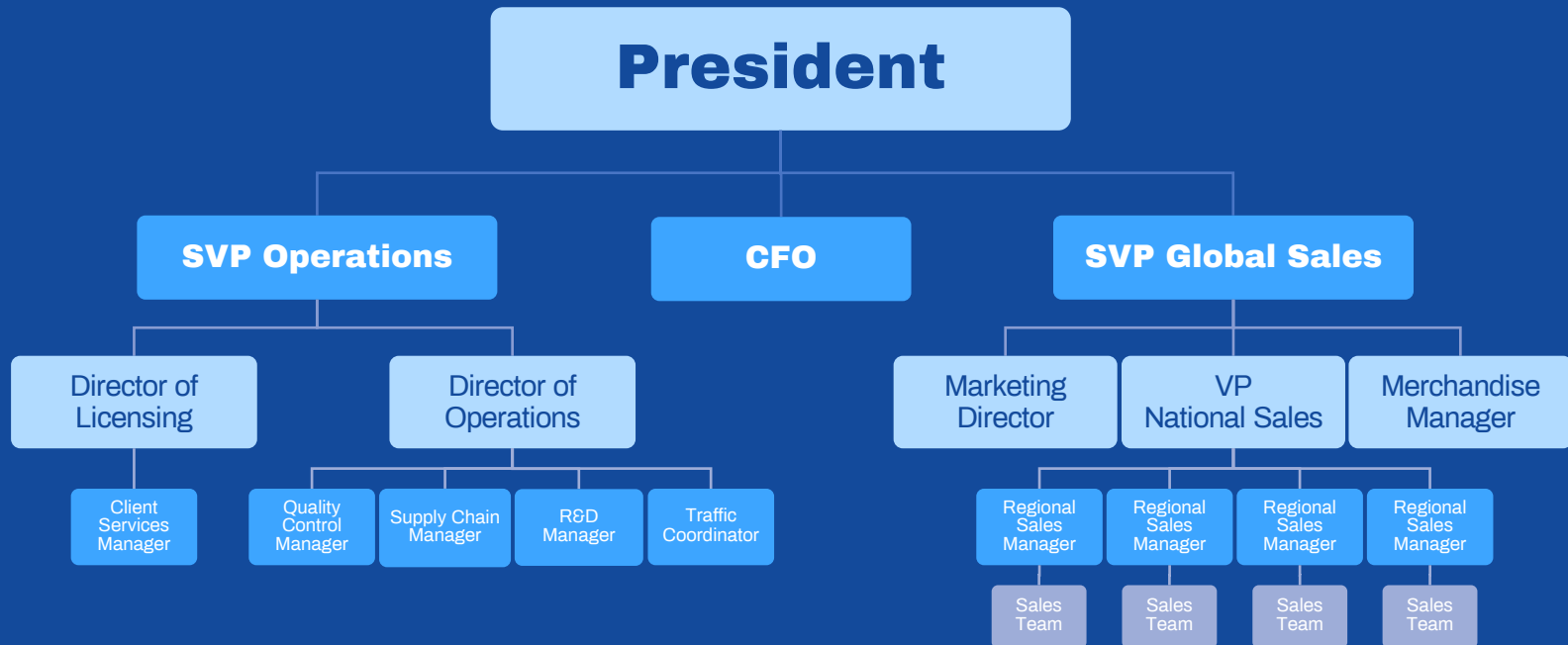
The acquisition is expected to cost **\$8.5M** for the real-estate, infrastructure and existing management team.

SIGNATURE SPRINGS PLANT SPECIFICATIONS

- Total Production Lines: One line – 450cpm (Bottles per minute)
- Capacity: 8hr Shift Daily fills 8 Truckloads (3,000 cases); 24hour operation fills 12 Truckloads (18,000 cases); annual 5,400,000 cases with potential revenue of \$75M
- One connected Spring has 1,500 acres with other springs available (requires permit for expansion)
- Opportunity to expand to an additional 25,000 acres
- Plant expansion capabilities: Building is zoned for 250,000 sq ft but occupying only 60,000 sq ft
- Bottle conversion time: 3-4 hours
- Bottles are air blown on-site
- Full flavor mixing
- Nitrogen injection
- Custom packing options
- 26.7mm closures offered in flat and sports cap
- Pressure sensitive labeling – four labeling stations at one time
- Quality control lab on-site
- New bottle sizes require investment for molding and equipment per size
- Customer Base: Multiple private label clients

Resource Personnel Requirements

waterco list requirements for the following resources:



Financial Summary Report

	Full Yr 2020	%	Full Yr 2021	%	Full Yr 2022	%
Sales						
Total Sales	\$ 25,150,000	100.00%	\$ 33,057,500	100.00%	\$ 46,610,375	100.00%
Cost of Goods Sold	\$ 11,317,500	45.00%	\$ 14,875,875	45.00%	\$ 20,974,669	45.00%
Gross Profit (@55%)	\$ 13,832,500	55.00%	\$ 18,181,625	55.00%	\$ 25,635,706	55.00%
Expenses:						
Total Sponsorship						
Sponsorship	\$ 2,075,282	8.25%	\$ 2,369,713	7.17%	\$ 2,136,663	4.58%
Total Other Expenses:	\$ 7,991,500	31.78%	\$ 10,436,475	31.57%	\$ 14,705,349	31.55%
Total Expenses	\$ 10,066,782	40.03%	\$ 12,806,188	38.74%	\$ 16,842,012	36.13%
Income Before Interest and Income Taxes	\$ 3,765,718	14.97%	\$ 5,375,437	16.26%	\$ 8,793,695	18.87%
Interest Expense	\$ -	0.00%	\$ -	0.00%	\$ -	0.00%
Income Before Income Taxes	\$ 3,765,718	14.97%	\$ 5,375,437	16.26%	\$ 8,793,695	18.87%
Income Taxes	\$ -	0.00%	\$ -		\$ -	
Net Income	\$ 3,765,718	14.97%	\$ 5,375,437	16.26%	\$ 8,793,695	18.87%

Detail Financial Statement

	Full Yr 2020	%	Full Yr 2021	%	Full Yr 2022	%
Sales						
Amazon	\$ -		\$ -		\$ -	
Sales	\$ 25,150,000		\$ 33,057,500		\$ 46,610,375	
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Total Other Expenses						
Advertising & Marketing	\$ 2,600,000	10.34%	\$ 3,600,000	10.89%	\$ 5,600,000	12.01%
Sales Commissions @ 3%	\$ 754,500	3.00%	\$ 991,725	3.00%	\$ 1,398,311	3.00%
Freight Costs @ 10%	\$ 2,515,000	10.00%	\$ 3,305,750	10.00%	\$ 4,661,038	10.00%
Slotting Fees	\$ 500,000	1.99%	\$ 750,000	2.27%	\$ 1,000,000	2.15%
Payroll Direct	\$ 900,000	3.58%	\$ 900,000	2.72%	\$ 900,000	1.93%
Payroll In-Direct	\$ 100,000	0.40%	\$ 100,000	0.30%	\$ 100,000	0.21%
Payroll Taxes and Benefits	\$ 100,000	0.40%	\$ 100,000	0.30%	\$ 100,000	0.21%
Travel Expense	\$ 75,000	0.30%	\$ 110,000	0.33%	\$ 200,000	0.43%
Meals & Entertainment	\$ 25,000	0.10%	\$ 40,000	0.12%	\$ 50,000	0.11%
Trade Show	\$ 100,000	0.40%	\$ 150,000	0.45%	\$ 200,000	0.43%
To be continued:						

Detail Financial Statement

	Full Yr 2020	%	Full Yr 2021	%	Full Yr 2022	%
Continued from previous page:						
Allocated Rent and Utilities	\$ 180,000	0.72%	\$ 180,000	0.54%	\$ 180,000	0.39%
Insurance Expense	\$ 20,000	0.08%	\$ 30,000	0.09%	\$ 40,000	0.09%
Legal Fees	\$ 25,000	0.10%	\$ 25,000	0.08%	\$ 25,000	0.05%
Professional Fees	\$ 50,000	0.20%	\$ 100,000	0.30%	\$ 150,000	0.32%
Depreciation	\$ 25,000	0.10%	\$ 25,000	0.08%	\$ 25,000	0.05%
Office Expense	\$ 10,000	0.04%	\$ 15,000	0.05%	\$ 15,000	0.03%
Postage and Shipping	\$ 3,000	0.01%	\$ 4,000	0.01%	\$ 5,000	0.01%
Printing Expense	\$ 5,000	0.02%	\$ 5,000	0.02%	\$ 50,000	0.11%
Bank Fee	\$ 2,000	0.01%	\$ 3,000	0.01%	\$ 4,000	0.01%
Bottle Deposit Fees	\$ -	0.00%	\$ -	0.00%	\$ -	0.00%
Dues and Subscriptions	\$ 1,000	0.00%	\$ 1,000	0.00%	\$ 1,000	0.00%
Entity Fees	\$ 1,000	0.00%	\$ 1,000	0.00%	\$ 1,000	0.00%
Total Other Expenses:	\$ 7,991,500	31.78%	\$ 10,436,475	31.57%	\$ 14,705,349	31.55%
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waterco

SPORTS WATER 